Warehouse Receiving, Inventory Barcoding & Landed Cost Entry SOP - Chin Specialty Goods

Operating Manual for Port Deconsolidation, Physical Inspection & Cost Model Reconciliation

1. PURPOSE, REGULATORY SCOPE & OPERATIONAL MANDATE

This Standard Operating Procedure (SOP-LOG-2026-04) establishes the mandatory protocol governing inbound intermodal freight intake, customs classification verification, physical damage triage, barcode serialization, and landed cost model updates for all Chin Specialty Goods inventory arriving at the Los Angeles logistics terminal.

Operational Scope: Covers ocean container deconsolidation, Port of Los Angeles (POLA) drayage arrivals, Less-than-Container Load (LCL) pallet breakdown, and dynamic spreadsheet model reconciliation across active catalog SKUs KC-101 through KC-108.

Mandatory Compliance: All receiving personnel must execute inspections in accordance with ANSI/ASQ Z1.4 sampling standards and US Customs & Border Protection (CBP) 19 CFR Part 141 commercial invoice regulations.

2. MASTER SKU, TARIFF & DUTY SCHEDULE (HTS 2026 REVISION)

Every inbound product line must be reconciled against the following Harmonized Tariff Schedule (HTS) matrix prior to container gate release. Effective duty rates include both general Column 1 ad valorem rates and applicable Section 301 trade remedies.

SKU Code	Product Commercial Name	HTS Code	Base Duty	Sec 301	Effective Duty	Master Ctn Qty	Gross Wt / Ctn
KC-101	Precision Gooseneck Electric Kettle (1.0L)	8516.79.00	2.7%	25.0%	27.7%	6 Units	14.2 kg
KC-102	Conical Burr Stainless Hand Grinder	8210.00.00	3.7%	7.5%	11.2%	12 Units	9.6 kg
KC-103	Digital Precision Scale w/ Micro-Timer	8423.81.00	4.5%	25.0%	29.5%	24 Units	12.8 kg
KC-104	Double-Wall Borosilicate Glasses (Set of 2)	7013.37.20	6.0%	7.5%	13.5%	16 Sets	11.4 kg
KC-105	Ceramic V60 Style Pour-Over Dripper	6912.00.48	9.8%	25.0%	34.8%	18 Units	13.5 kg
KC-106	Stainless Milk Frothing Pitcher (600ml)	7323.93.00	3.4%	7.5%	10.9%	20 Units	8.2 kg
KC-107	Tritan Airtight Cold Brew Pitcher (1.5L)	3924.10.40	3.4%	25.0%	28.4%	8 Units	7.1 kg
KC-108	Titanium Coated Cupping Spoons (Pair)	8215.99.20	5.3%	7.5%	12.8%	48 Pairs	6.5 kg

Tariff Notes: Surcharges under Section 301 List 3 apply to HTS subheadings 8516.79.00, 8423.81.00, 6912.00.48, and 3924.10.40. Duty disbursements are remitted directly through automated clearinghouse (ACH) debit to CBP via licensed customs broker.

3. INBOUND FREIGHT RECEIVING & INTERMODAL 5-GATE INSPECTION PROTOCOL

Receiving clerks must complete all five verification gates sequentially before authorizing carrier sign-off or initiating warehouse slotting.

Gate Step	Verification Target	Inspection Method & Threshold	Failure Escalation SLA	Mandatory Output Record
Gate 1: Seal Verification	High-Security Bolt Seal	Match ISO 17712 bolt seal # against Ocean B/L	Immediate carrier hold; notify CBP broker	Seal photo + Gate Log Entry
Gate 2: Container Exterior	Trailer Shell & Floor	Inspect for water ingress, odor, wall puncture	Reject trailer if biological or moisture breach	Container Interchange Form (EIR)
Gate 3: Pallet Tally	Master Carton Counts	100% carton count match vs Commercial Invoice	Note shortage/overage on B/L within 30 min	Tally Sheet signed by driver
Gate 4: AQL Sampling	Inner Unit QC Integrity	ANSI/ASQ Z1.4 Level II Normal (AQL 2.5 defect limit)	Quarantine lot if defect rate > 2.5%	QC Inspection Sheet (Form Q-4)
Gate 5: Barcode Scan	UPC-A & Master Carton	Scan random 10 units per SKU via Handheld WMS	Re-tag cartons within 2 business hours	WMS ASN Intake Receipt Confirmation

Documentation Standard: If water damage, pallet collapse, or box crush exceeds 2.0% of shipment volume, the receiving clerk must photograph all four sides of the affected pallets with time/date stamp enabled and record exact carton numbers on the carrier Delivery Receipt (DR) prior to releasing the drayage operator.

4. WAREHOUSE BIN ALLOCATION & VELOCITY RACK MAPPING

To minimize pick path travel time and prevent cross-contamination or fragile breakage, all active SKUs are slotted into designated Los Angeles Logistics Hub 4 zones based on 60-day sales velocity.

Warehouse Zone	Rack / Bay / Tier	SKU Assigned	Pick Velocity	Min Reorder Floor	Max Bin Capacity	Pallet Spec / Stacking
Zone A (Front Aisle)	Bay A-01 to A-04	KC-101 (Gooseneck)	High Velocity	180 Units (30 ctns)	720 Units (4 pallets)	Standard GMA 48x40 (Max 3 high)
Zone A (Front Aisle)	Bay A-05 to A-08	KC-103 (Scale)	High Velocity	250 Units (11 ctns)	960 Units (5 pallets)	Standard GMA 48x40 (Max 4 high)
Zone B (Center Mezz)	Bay B-01 to B-06	KC-102 (Grinder)	Medium Velocity	120 Units (10 ctns)	480 Units (2 pallets)	Standard GMA 48x40 (Max 3 high)
Zone B (Center Mezz)	Bay B-07 to B-10	KC-105 (Dripper)	Medium Velocity	220 Units (13 ctns)	540 Units (3 pallets)	Heavy-Duty Pallet (Max 2 high)
Zone B (Center Mezz)	Bay B-11 to B-14	KC-106 (Pitcher)	Medium Velocity	150 Units (8 ctns)	600 Units (3 pallets)	Standard GMA 48x40 (Max 4 high)
Zone C (Climate/Padded)	Bay C-01 to C-04	KC-104 (Glasses)	Fragile / Controlled	300 Units (19 ctns)	640 Units (2 pallets)	Corner Board Protected (No double stack)
Zone C (Climate/Padded)	Bay C-05 to C-08	KC-107 (Cold Brew)	Fragile / Controlled	160 Units (20 ctns)	400 Units (2 pallets)	Stretch-Wrap 80-Gauge (Max 2 high)
Zone D (Small Parts Bin)	Bin D-01 to D-03	KC-108 (Spoons)	Accessories / Low	100 Pairs (3 ctns)	384 Pairs (1 pallet)	Shelf Bin Tote Storage

5. LANDED COST ACCOUNTING & SPREADSHEET MODEL RECONCILIATION

Following warehouse physical intake, the operations clerk must open the master financial model (keegan_sku_margin_calculator_v2_locked.xlsx) and populate the inbound shipment variables in accordance with the formula schedule below:

Cost Component	Target Cell / Column	Calculation Formula	Verification Source	Accounting General Ledger
Supplier FOB Unit Cost	Column D (D3:D10)	Input from Supplier Commercial Invoice	Supplier Wire Confirmation	GL 13100 - In-Transit Inventory
Ocean Freight Allocation	Column E (E3:E10)	=(Total_LCL_Freight / Total_CBM) * SKU_CBM	Freight Forwarder Final Invoice	GL 50120 - Freight Inbound Incurred
Customs Duty Allocation	Column F (F3:F10)	=Unit_FOB * Effective_Duty_Rate_%	CBP Form 7501 Entry Summary	GL 50130 - Customs Duty & Clearance
Drayage & Pierpass Fee	Column G (G3:G10)	=(Drayage_Total / Total_Cartons) * SKU_Carton_Ratio	Drayage Carrier Invoice	GL 50140 - Port Drayage & Wharfage
True Landed Unit Cost	Column H (H3:H10)	=SUM(D3:G3)	Calculated landed cost floor	GL 13200 - Warehouse Finished Goods
Wholesale Price (2.1x)	Column I (I3:I10)	=ROUNDUP(H3 * 2.1, 2)	B2B catalog baseline tier	GL 40100 - Wholesale Revenue
Retail MSRP Price	Column J (J3:J10)	Direct catalog retail price sheet	Website active listing	GL 40200 - Direct-to-Consumer Sales
Gross Margin Percentage	Column K (K3:K10)	=(J3 - H3) / J3	Target threshold: >= 65.0%	Executive Gross Margin KPI

Gross Margin Guardrail Rule: If any individual SKU calculates a retail gross margin below 65.0% in Column K, the spreadsheet generates an automated conditional formatting alert (Cell Fill: Light Red). The inventory lot cannot be released for e-commerce or retail fulfillment until pricing adjustments are formally authorized in writing by Keegan Chin.

6. DEFECTIVE STOCK QUARANTINE & DISCREPANCY CLAIMS

Non-conforming items must be isolated immediately into the Cage Quarantine Area (Location: QA-Q01).

Discrepancy Category	Root Cause Trigger	Quarantine Action	Vendor Claim Filing SLA	Resolution Mechanism
Shattered Glass / Ceramic	Transit impact / inadequate internal foam	Hold full pallet lot; count breakage units	Within 24 hours of gate receipt	Credit memo against next purchase order
Cosmetic Scratch / Dent	Tooling wear during manufacturing	Sample 100 units; isolate affected batch	Within 48 hours with macro photos	Supplier replacement parts air-freighted
Electrical Fault (KC-101)	Heating coil open circuit on 120V test	100% electrical batch quarantine	Within 12 hours to factory QC director	Immediate factory engineering root cause audit
Missing Barcode Label	Packaging line omission at source factory	Move to warehouse relabeling station	Internal operational note	Print replacement UPC-A labels at $0.15/unit

7. OPERATIONS ATTESTATION & RECEIVING SIGN-OFF

All received lots must be updated in the warehouse management system (WMS) within four (4) business hours of physical trailer discharge. Completed receiving manifests, signed delivery receipts, and customs entry packages must be scanned and archived in the logistics repository under /Logistics/Inbound_Receiving/2026/.

Warehouse Operations Manager: Keegan Chin | Chin Specialty Goods Logistics Hub 4 | Los Angeles, CA

Authorized Signature: Keegan Chin | Date of Review: October 21, 2026